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Aspeed Technology | Asia Pacific

Emerging competition from Marvell?

Marvell, at its Investor Day on October 6, 2026, unveiled a new **semi-custom AI infrastructure management processor** based on its 5nm OCTEON IP, targeting workloads that the company said offered ~1,000x more performance than traditional server BMCs (baseboard management controllers). Importantly, Marvell (covered by Joe Moore) said it already has programs with multiple hyperscalers.

Our preliminary view - We see this as more new TAM than direct competition for Aspeed in the near term. 1) We view this as IMC (infrastructure management controller) (not BMC), with ASP of a few hundred US dollars and some volume from end of 2027 or early 2028. 2) Potentially a few clusters or a few racks will need one IMC. 3) Even if customers want to replace BMC with IMC directly, the whole rack architecture would need to be redesigned, which we think is unlikely to happen in the near term.

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Aspeed Technology (5274.TWO, 5274 TT)				
Greater China Technology Semiconductors Taiwan				
Stock Rating	Overweight			
Industry View	Attractive			
Price target	NT\$24,000.00			
Up/downside to price target (%)	26			
Shr price, close (Oct 6, 2026)	NT\$18,985.00			
52-Week Range	NT\$21,800.00-4,645.46			
Sh out, dil, curr (mn)	38			
Mkt cap, curr (mn)	NT\$712,963			
EV, curr (mn)	NT\$706,664			
Avg daily trading value (mn)	NT\$3,980			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	103.94	207.93	313.49	443.53
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	100.67	198.52	342.30	478.65
Revenue, net (NT\$ mn)	9,085	18,702	29,808	40,761
EBITDA (NT\$ mn)	4,984	10,584	17,475	24,792
ModelWare net inc (NT \$ mn)	3,928	8,882	14,340	20,288
P/E	63.5	91.3	60.6	42.8
P/BV	32.7	54.1	34.0	22.7
RNOA (%)	214.7	623.8	468.4	416.7
ROE (%)	69.7	117.3	108.8	96.8
EV/EBITDA	48.5	66.4	39.9	27.7
Div yld (%)	0.5	0.9	1.4	2.0

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FCF yld ratio (%)**	0.6	0.9	1.5	2.1
Leverage (EOP) (%)	(83.2)	(78.8)	(78.7)	(80.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

Valuation Methodology and Risks

Aspeed Technology (5274.TWO)

Base case, residual income model. Key assumptions:

- Cost of equity of 9.8% (2.0% risk-free rate, 6% risk premium, 1.3 beta)
- Medium-term growth rate of 21.4%
- Terminal growth rate of 5.5%
- Cash payout ratio of 85%

Risks to Upside

- Stronger cloud demand
- Faster-than-expected spec migration
- Mild competition

Risks to Downside

- Softening cloud demand
- Slower-than-expected spec migration
- Intensified competition
- Further policy tightening in China

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(as of September 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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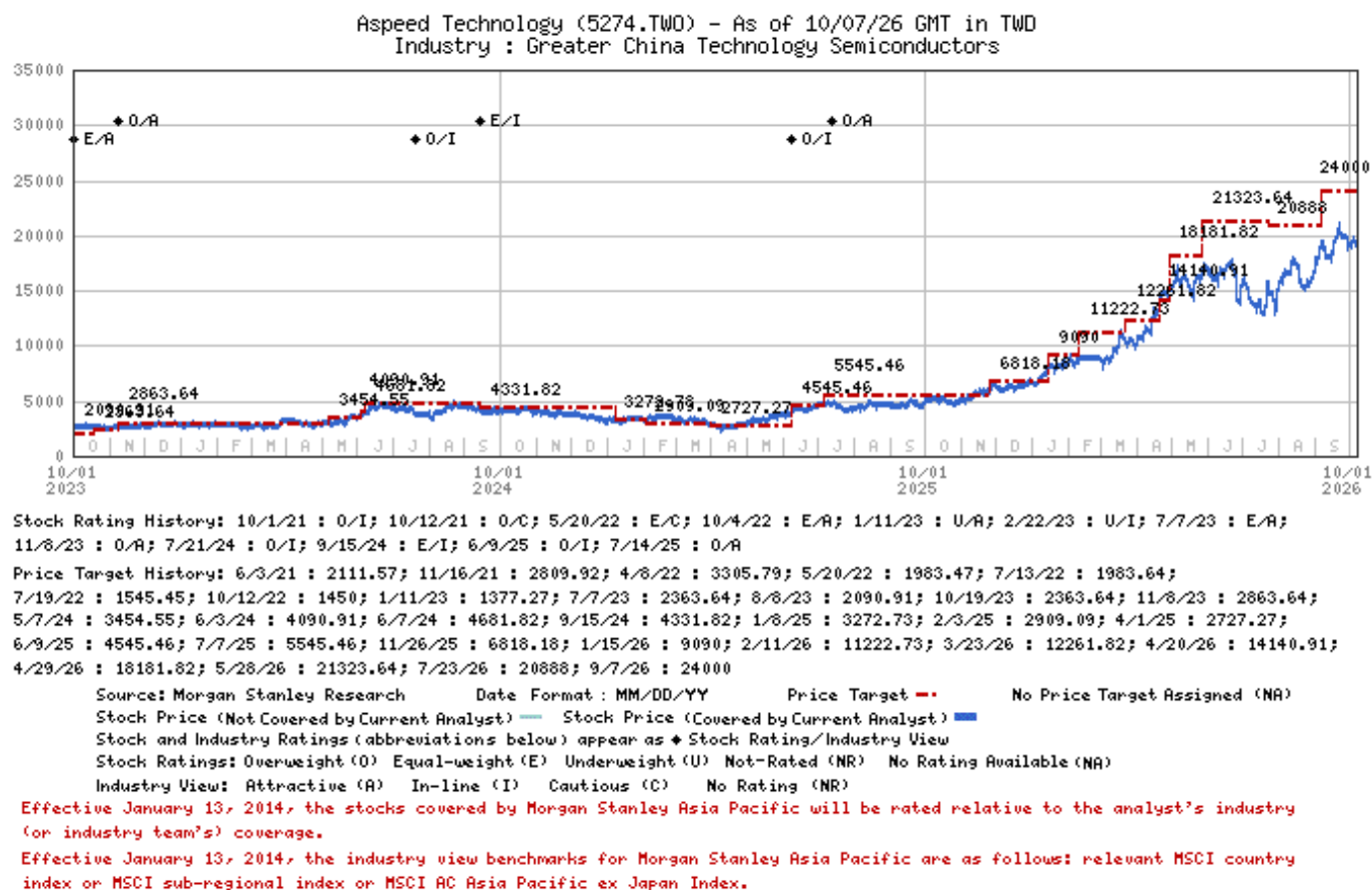
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/30/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$127.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,190.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$732.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,009.01
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb54.79
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$8,460.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$1,205.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$563.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$108.20
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$101.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$299.50
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,835.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb497.08
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$514.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb82.21
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,090.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb110.21
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$456.50
SMIC (0981.HK)	O (10/21/2025)	HK\$61.55
TSMC (2330.TW)	O (02/07/2022)	NT\$2,585.00
UMC (2303.TW)	O (05/19/2026)	NT\$148.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$191.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$592.00

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$182.00
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb55.10
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb84.66
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb30.75
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb226.80
Innoscence (2577.HK)	E (10/13/2025)	HK\$39.50
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb64.28
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$26.02
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb104.39
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb115.78
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb81.21
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb57.88
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb23.74
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb84.46

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$1,000.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,455.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$18,985.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$102.50
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$134.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT\$3,115.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb115.08
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb353.90
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$118.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$310.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb202.31
Novatek (3034.TW)	U (02/04/2026)	NT\$529.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$159.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$563.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$72.60
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$741.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb53.19
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$179.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$120.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$215.50

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb113.81
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb301.93

Henry Zhao

ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$75.35
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb318.55
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb70.17
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb615.97

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,535.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$650.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$14.85
Hon Precision (7769.TW)	O (04/17/2026)	NT\$5,885.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,670.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$284.96
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$5,520.00

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* Historical prices are not split adjusted.

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